

3.	25CV2982	CHRISTINA I. ANDERSON VS. EL DORADO HILLS BOAT, WINE & SELF STORAGE, LLC ET AL
MOTION TO COMPEL ARBITRATION AND STAY CIVIL ACTION		

ON THE COURT'S OWN MOTION DUE TO LACK OF JUDICIAL COVERAGE, THE COURT WILL HEAR THIS MATTER ON SEPTEMBER 18, 2026, AT 8:30 A.M. IN DEPARTMENT NINE. THERE WILL BE NO HEARING ON AUGUST 21, 2026. SHOULD A PARTY WISH TO REQUEST ORAL ARGUMENT, THE BELOW PROCEDURES REMAIN IN EFFECT.

The Notice does not comply with Local Rules 7.10.05. Repeated violations will be grounds for sanctions pursuant to Local Rule 7.12.13.

Defendants, El Dorado Hills Boat Wine & Self Storage, LLC dba Goldkey Boathouse, Complete Management, and David Ciapponi (collectively "Defendants") filed this motion to compel arbitration on June 26, 2026. An opposition was filed by Plaintiff, Christina I. Anderson ("Plaintiff"), on August 10, 2026.

Defendants contend that Plaintiff executed and entered into an At-Will Agreement with Defendants on or about September 22, 2017, which contained an Arbitration Agreement and an Arbitration of Disputes Agreement. Plaintiff opposes Defendants' motion to compel arbitration on the grounds that 1) Defendants waived the right to arbitrate by filing an answer in the action and 2) the arbitration provision is unconscionable in that Plaintiff cannot afford the costs of arbitration, as evidenced by the Court granting her fee waiver.

Legal Principles

Code of Civil Procedure § 1281.2 provides, in part:

On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that:

- (a) The right to compel arbitration has been waived by the petitioner; or
- (b) Grounds exist for rescission of the agreement.

Discussion

1. Waiver

Defendants assert that they have not waived their right to arbitrate, as they have not acted inconsistently with their intent to arbitrate and Plaintiff has not suffered prejudice as a

result of Defendants' conduct. Defendants have filed an Answer, engaged in preliminary settlement discussions, and have reached an agreement to mediate although no concrete steps towards mediation have occurred. Defendants have not engaged in extensive litigation, propounded discovery, filed any motions, or otherwise acted inconsistently with an intent to arbitrate.

Plaintiff argues that Defendants took actions inconsistent with any desire to arbitrate by selectively enforcing policies and ignoring others, including the appointment of a Director of Human Resources to whom Plaintiff could direct a request for informal dispute resolution. Additionally, Defendants did not declare an interest in arbitration until months after filing an answer. Further, it is premature to compel arbitration as Defendants acknowledge the parties have yet to complete the pre-dispute "step clause" as a condition precedent to arbitration and accordingly, the motion must be continued until mediation between the parties has concluded.

"Although a court may deny a petition to compel arbitration on the ground of waiver ([Code Civ. Proc.] § 1281.2, subd. (a)), waivers are not to be lightly inferred and the party seeking to establish a waiver bears a heavy burden of proof. [Citations.] [¶] Both state and federal law emphasize that no single test delineates the nature of the conduct that will constitute a waiver of arbitration. [Citations.] ' "In the past, California courts have found a waiver of the right to demand arbitration in a variety of contexts, ranging from situations in which the party seeking to compel arbitration has previously taken steps inconsistent with an intent to invoke arbitration [citations] to instances in which the petitioning party has unreasonably delayed in undertaking the procedure. [Citations.] The decisions likewise hold that the 'bad faith' or 'willful misconduct' of a party may constitute a waiver and thus justify a refusal to compel arbitration. [Citations.]" ' " (St. Agnes Medical Center v. PacifiCare of California, *supra*, 31 Cal.4th at pp. 1195–1196, 8 Cal.Rptr.3d 517, 82 P.3d 727.)

As set forth by our high court in *St. Agnes Medical Center v. PacifiCare of California*, *supra*, 31 Cal.4th at page 1196, 8 Cal.Rptr.3d 517, 82 P.3d 727, when a court considers the issue of waiver or forfeiture in this context, the following factors generally apply: " ' "(1) whether the party's actions are inconsistent with the right to arbitrate; (2) whether 'the litigation machinery has been substantially invoked' and the parties 'were well into preparation of a lawsuit' before the party notified the opposing party of an intent to arbitrate; (3) whether a party either requested arbitration enforcement close to the trial date or delayed for a long period before seeking a stay; (4) whether a defendant seeking arbitration filed a counterclaim without asking for a stay of the proceedings; (5) 'whether important intervening steps [e.g., taking advantage of judicial discovery procedures not available in arbitration] had taken place'; and (6) whether the delay 'affected, misled, or prejudiced' the opposing party." ' [Citation.]"

Roberts v. El Cajon Motors, Inc. (2011) 200 Cal.App.4th 832, 840–841 [133 Cal.Rptr.3d 350, 357]

The Court does not find that Defendants acted inconsistently with the right to arbitrate and thus did not waive their right to compel arbitration.

2. Unconscionability

Plaintiff argues the provision requiring Plaintiff to pay 30% of the arbitration fees and costs is unconscionable, as she cannot afford these additional expenses.

The Arbitration Agreement provides, in part (the “fee-splitting provision”):

Company will pay 70% of the arbitrator’s fees and arbitration expenses and any other costs unique to the arbitration hearing (recognizing that each side bears its own deposition, witness, expert and attorney’s fees and other expenses to the same extent as if the matter were being heard in court). Any dispute as to the reasonableness of any fee or cost shall be resolved by the arbitrator.

[W]hen an employer imposes mandatory arbitration as a condition of employment, **the arbitration agreement or arbitration process cannot generally require the employee to bear any type of expense that the employee would not be required to bear if he or she were free to bring the action in court.** This rule will ensure that employees bringing FEHA claims will not be deterred by costs greater than the usual costs incurred during litigation, costs that are essentially imposed on an employee by the employer. *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 110–111 [99 Cal.Rptr.2d 745, 765, 6 P.3d 669, 687] (emphasis added).

[I]n the context of mandatory employment arbitration agreements that apply to unwaivable statutory claims—such as FEHA claims—our Supreme Court has held that **regardless of an employee’s income, an employer must pay all costs unique to arbitration, including arbitrator fees.** *Penilla v. Westmont Corp.* (2016) 3 Cal.App.5th 205, 221 [207 Cal.Rptr.3d 473, 487](emphasis added).

Civil Code section 1670.5, subdivision (a) provides that “[i]f the court as a matter of law finds the contract or any clause of the contract to have been unconscionable at the time it was made the court may refuse to enforce the contract, or it may enforce the remainder of the contract without the unconscionable clause, or it may so limit the application of any unconscionable clause as to avoid any unconscionable result.” Comment 2 of the Legislative Committee comment on section 1670.5, incorporating the comments from the Uniform Commercial Code, states: “Under this section the court, in its discretion, may refuse to enforce the contract as a whole if it is permeated by the unconscionability, or it may strike any single clause or group of clauses which are so tainted or which are contrary to the essential purpose of the agreement, or it may simply limit unconscionable clauses so as to avoid unconscionable results.” (Legis. Com.

com., at 9 West's Ann. Civ.Code (1985 ed.) p. 494 (Legislative Committee comment).)
Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 121–122 [99 Cal.Rptr.2d 745, 773, 6 P.3d 669, 695].

The basic principles of severability that emerge from Civil Code section 1599 and the case law of illegal contracts appear fully applicable to the doctrine of unconscionability. Courts are to look to the various purposes of the contract. If the central purpose of the contract is tainted with illegality, then the contract as a whole cannot be enforced. **If the illegality is collateral to the main purpose of the contract, and the illegal provision can be extirpated from the contract by means of severance or restriction, then such severance and restriction are appropriate.** *Id.* at 124 (emphasis added).

Plaintiff asserts causes of action of Disparate Treatment, Disparate Impact, and Retaliation pursuant to FEHA. The fee-splitting provision is accordingly unconscionable. The Court finds that severance of the fee-splitting provision is appropriate.

The Court grants Defendants' motion to compel arbitration and stay proceedings. The fee-splitting provision is stricken. Defendants are ordered to pay all of the arbitrator's fees, arbitration expenses and any other costs unique to the arbitration hearing.

TENTATIVE RULING #3:

DEFENDANTS' MOTION TO COMPEL ARBITRATION AND STAY PROCEEDINGS IS GRANTED. THE FEE-SPLITTING PROVISION IS STRICKEN. DEFENDANTS ARE ORDERED TO PAY ALL OF THE ARBITRATOR'S FEES, ARBITRATION EXPENSES, AND ANY OTHER COSTS UNIQUE TO THE ARBITRATION HEARING.

NO HEARING ON THIS MATTER WILL BE HELD UNLESS A REQUEST FOR ORAL ARGUMENT IS TRANSMITTED ELECTRONICALLY THROUGH THE COURT'S WEBSITE OR BY TELEPHONE TO THE COURT AT (530) 621-6551 BY 4:00 P.M. ON THE DAY THE TENTATIVE RULING IS ISSUED. CAL. RULE CT. 3.1308; LOCAL RULE 8.05.07; SEE ALSO LEWIS V. SUPERIOR COURT, 19 CAL.4TH 1232, 1247 (1999).

NOTICE TO ALL PARTIES OF A REQUEST FOR ORAL ARGUMENT AND THE GROUNDS UPON WHICH ARGUMENT IS BEING REQUESTED MUST BE MADE BY TELEPHONE OR IN PERSON BY 4:00 P.M. ON THE DAY THE TENTATIVE RULING IS ISSUED. CAL. RULE CT. 3.1308; EL DORADO COUNTY LOCAL RULE 8.05.07. PROOF OF SERVICE OF SAID NOTICE MUST BE FILED PRIOR TO OR AT THE HEARING.

LONG CAUSE HEARINGS MUST BE REQUESTED BY 4:00 P.M. ON THE DAY THE TENTATIVE RULING IS ISSUED AND THE PARTIES ARE TO PROVIDE THE COURT WITH THREE MUTUALLY AGREEABLE DATES ON FRIDAY AFTERNOONS AT 2:30 P.M. LONG CAUSE ORAL ARGUMENT REQUESTS WILL BE SET FOR HEARING ON ONE OF THE THREE MUTUALLY AGREEABLE DATES ON FRIDAY AFTERNOONS AT 2:30 P.M. THE COURT WILL ADVISE THE PARTIES OF THE LONG

August 21, 2026
Dept. 9
Civil Tentative Rulings

**CAUSE HEARING DATE AND TIME BY 5:00 P.M. ON THE DAY THE TENTATIVE RULING IS ISSUED.
PARTIES MAY PERSONALLY APPEAR AT THE HEARING.**